

**SUBSTITUTE FOR
HOUSE BILL NO. 5797**

A bill to amend 1979 PA 94, entitled
"The state school aid act of 1979,"
by amending section 101 (MCL 388.1701), as amended by 2025 PA 15.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 101. (1) To be eligible to receive state aid under this
2 article, not later than the fifth Wednesday after the pupil
3 membership count day and not later than the fifth Wednesday after
4 the supplemental count day, each district superintendent shall
5 submit and certify to the center and the intermediate
6 superintendent, in the form and manner prescribed by the center,
7 the number of pupils enrolled and in regular daily attendance,
8 including identification of tuition-paying pupils, in the district
9 as of the pupil membership count day and as of the supplemental



count day, as applicable, for the current school year. In addition, a district maintaining school during the entire year shall submit and certify to the center and the intermediate superintendent, in the form and manner prescribed by the center, the number of pupils enrolled and in regular daily attendance in the district for the current school year pursuant to rules promulgated by the superintendent. Not later than the sixth Wednesday after the pupil membership count day and not later than the sixth Wednesday after the supplemental count day, the district shall resolve any pupil membership conflicts with another district, correct any data issues, and recertify the data in a form and manner prescribed by the center and file the certified data with the intermediate superintendent. If a district fails to submit and certify the attendance data, as required under this subsection, the center shall notify the department and the department shall withhold state aid due to be distributed under this article from the defaulting district immediately, beginning with the next payment after the failure and continuing with each payment until the district complies with this subsection. If a district does not comply with this subsection by the end of the fiscal year, the district forfeits the amount withheld. A person who willfully falsifies a figure or statement in the certified and sworn copy of enrollment is subject to penalty as prescribed by section 161.

(2) To be eligible to receive state aid under this article, not later than the twenty-fourth Wednesday after the pupil membership count day and not later than the twenty-fourth Wednesday after the supplemental count day, an intermediate district shall submit to the center, in a form and manner prescribed by the center, the audited enrollment and attendance data as described in



subsection (1) for the pupils of its constituent districts and of the intermediate district. If an intermediate district fails to submit the audited data as required under this subsection, the department shall withhold state aid due to be distributed under this article from the defaulting intermediate district immediately, beginning with the next payment after the failure and continuing with each payment until the intermediate district complies with this subsection. If an intermediate district does not comply with this subsection by the end of the fiscal year, the intermediate district forfeits the amount withheld.

(3) Except as otherwise provided in subsections (11) and (12) all of the following apply to the provision of pupil instruction:

(a) Except as otherwise provided in this section, each district shall provide at least 1,098 hours and 180 days of pupil instruction. If a collective bargaining agreement that provides a complete school calendar was in effect for employees of a district as of June 24, 2014, and if that school calendar is not in compliance with this subdivision, then this subdivision does not apply to that district until after the expiration of that collective bargaining agreement. A district may apply for a waiver under subsection (9) or subdivision (h) from the requirements of this subdivision.

(b) Except as otherwise provided in this article, a district failing to comply with the required minimum hours and days of pupil instruction under this subsection forfeits from its total state aid allocation an amount determined by applying a ratio of the number of hours or days the district was in noncompliance in relation to the required minimum number of hours and days under this subsection. Not later than the first business day in August, the



1 board of each district shall either certify to the department that
2 the district was in full compliance with this section regarding the
3 number of hours and days of pupil instruction in the previous
4 school year, or report to the department, in a form and manner
5 prescribed by the center, each instance of noncompliance. If the
6 district did not provide at least the required minimum number of
7 hours and days of pupil instruction under this subsection, the
8 department shall make the deduction of state aid in the following
9 fiscal year from the first payment of state school aid. A district
10 is not subject to forfeiture of funds under this subsection for a
11 fiscal year in which a forfeiture was already imposed under
12 subsection (6).

13 (c) Hours or days lost because of strikes or teachers'
14 conferences are not counted as hours or days of pupil instruction.

15 (d) Except as otherwise provided in subdivisions (e) and (f),
16 if a district does not have at least 75% of the district's
17 membership in attendance on any day of pupil instruction, the
18 department shall pay the district state aid in that proportion of
19 $1/180$ that the actual percent of attendance bears to 75%.

20 (e) If a district adds 1 or more days of pupil instruction to
21 the end of its instructional calendar for a school year to comply
22 with subdivision (a) because the district otherwise would fail to
23 provide the required minimum number of days of pupil instruction
24 even after the operation of subsection (4) due to conditions not
25 within the control of school authorities, then subdivision (d) does
26 not apply for any day of pupil instruction that is added to the end
27 of the instructional calendar. Instead, for any of those days, if
28 the district does not have at least 60% of the district's
29 membership in attendance on that day, the department shall pay the



1 district state aid in that proportion of 1/180 that the actual
2 percentage of attendance bears to 60%. For any day of pupil
3 instruction added to the instructional calendar as described in
4 this subdivision, the district shall report to the department the
5 percentage of the district's membership that is in attendance, in
6 the form and manner prescribed by the department.

7 (f) At the request of a district that operates a department-
8 approved alternative education program and that does not provide
9 instruction for pupils in all of grades K to 12, the superintendent
10 shall grant a waiver from the requirements of subdivision (d). The
11 waiver must provide that an eligible district is subject to the
12 proration provisions of subdivision (d) only if the district does
13 not have at least 50% of the district's membership in attendance on
14 any day of pupil instruction. In order to be eligible for this
15 waiver, a district must maintain records to substantiate its
16 compliance with the following requirements:

17 (i) The district offers the minimum hours of pupil instruction
18 as required under this section.

19 (ii) For each enrolled pupil, the district uses appropriate
20 academic assessments to develop an individual education plan that
21 leads to a high school diploma.

22 (iii) The district tests each pupil to determine academic
23 progress at regular intervals and records the results of those
24 tests in that pupil's individual education plan.

25 (g) All of the following apply to a waiver granted under
26 subdivision (f):

27 (i) If the waiver is for a blended model of delivery, a waiver
28 that is granted for the 2011-2012 fiscal year or a subsequent
29 fiscal year remains in effect unless it is revoked by the



1 superintendent.

2 (ii) If the waiver is for a 100% online model of delivery and
3 the educational program for which the waiver is granted makes
4 educational services available to pupils for a minimum of at least
5 1,098 hours during a school year and ensures that each pupil
6 participates in the educational program for at least 1,098 hours
7 during a school year, a waiver that is granted for the 2011-2012
8 fiscal year or a subsequent fiscal year remains in effect unless it
9 is revoked by the superintendent.

10 (iii) A waiver that is not a waiver described in subparagraph
11 (i) or (ii) is valid for 3 fiscal years, unless it is revoked by the
12 superintendent, and must be renewed at the end of the 3-year period
13 to remain in effect.

14 (h) For the 2024-2025 school year only, a district does not
15 need to meet the minimum number of hours and days of pupil
16 instruction requirement under subdivision (a) if that district
17 meets all of the following requirements:

18 (i) The district is located wholly or partially in a county
19 that is covered by a state of emergency declared by the governor.

20 (ii) A majority of the district board votes to exempt the
21 district from the minimum number of hours and days of pupil
22 instruction required under subdivision (a).

23 (iii) The vote by the district board under subparagraph (ii)
24 exempts the district from providing only the hours and days of
25 pupil instruction actually missed due to the state of emergency.

26 (iv) The vote by the district board under subparagraph (ii)
27 exempts the district from not more than 15 days of pupil
28 instruction required under subdivision (a). The amount that may be
29 exempted under this subdivision is in addition to any days counted



as pupil instruction under subsection (4).

(i) The superintendent shall promulgate rules for the implementation of this subsection.

(4) All of the following apply to the counting of ~~days and~~ hours **and days** of pupil instruction under this section:

(a) Except as otherwise provided in this subsection, the first 6 days or the equivalent number of hours for which pupil instruction is not provided because of conditions not within the control of school authorities, such as severe storms, fires, epidemics, utility power unavailability, water or sewer failure, or health conditions as defined by the city, county, or state health authorities, are counted as hours and days of pupil instruction.

For the 2025-2026 school year only, a district may count up to 4 additional days in which pupil instruction is not provided because of conditions not within the control of school authorities as described in this subdivision as hours and days of pupil instruction if all of the following apply:

(i) A district seeking to count up to 4 additional days as hours and days of pupil instruction under this subdivision is located wholly or partially in any of the following counties:

(A) Mason County.

(B) Lake County.

(C) Osceola County.

(D) Clare County

(E) Gladwin County.

(F) Arenac County.

(G) Manistee County.

(H) Wexford County.

(I) Missaukee County.



1 (J) Roscommon County.
2 (K) Ogemaw County.
3 (L) Iosco County.
4 (M) Benzie County.
5 (N) Grand Traverse County.
6 (O) Kalkaska County.
7 (P) Crawford County.
8 (Q) Oscoda County.
9 (R) Alcona County.
10 (S) Leelanau County.
11 (T) Antrim County.
12 (U) Otsego County.
13 (V) Montmorency County.
14 (W) Alpena County.
15 (X) Charlevoix County.
16 (Y) Emmet County.
17 (Z) Cheboygan County.
18 (AA) Presque Isle County.
19 (BB) Gogebic County.
20 (CC) Ontonagon County.
21 (DD) Houghton County.
22 (EE) Iron County.
23 (FF) Baraga County.
24 (GG) Marquette County.
25 (HH) Dickinson County.
26 (II) Menominee County.
27 (JJ) Alger County.
28 (KK) Delta County.
29 (LL) Schoolcraft County.



1 (MM) Luce County.

2 (NN) Chippewa County.

3 (OO) Mackinac County.

4 (PP) Keweenaw County.

5 (ii) A district described in subparagraph (i) was not able to
6 provide pupil instruction on March 12, 13, 16, or 17 due to
7 conditions not within the control of school authorities as
8 described in this subdivision.

9 (iii) A district described in subparagraph (i) counts only the
10 dates described in subparagraph (ii) in which pupil instruction was
11 not provided as additional hours and days of pupil instruction
12 under this subdivision.

13 (b) For the 2025-2026 school year only, a district located in
14 a county described in Executive Order No. 2026-7 or Executive Order
15 No. 2026-9 may count up to 5 additional days in which pupil
16 instruction is not provided because of conditions not within the
17 control of school authorities as described in Executive Order No.
18 2026-7 or Executive Order No. 2026-9 as hours and days of pupil
19 instruction.

20 (c) For the 2025-2026 school year only, a district located in
21 a county or region described in Executive Order No. 2026-11 may
22 count up to 4 additional days in which pupil instruction is not
23 provided because of conditions not within the control of school
24 authorities as described in Executive Order No. 2026-11 as hours
25 and days of pupil instruction.

26 (d) ~~(b)~~ With the approval of the superintendent of public
27 instruction, the department shall count as hours and days of pupil
28 instruction for a fiscal year not more than 3 additional days or
29 the equivalent number of additional hours for which pupil



1 instruction is not provided in a district due to unusual and
 2 extenuating occurrences resulting from conditions not within the
 3 control of school authorities such as those conditions described in
 4 this subsection.

5 **(e)** ~~(e)~~—A district that counts hours or days of professional
 6 development for teachers as hours or days of pupil instruction, as
 7 provided under subsection (10), is eligible to have additional
 8 hours or days counted as hours and days of pupil instruction as
 9 provided under subdivision ~~(b)~~ **(d)** to the same extent as a district
 10 that does not count hours or days of professional development for
 11 teachers as hours or days of pupil instruction.

12 **(f)** ~~(d)~~—In deciding whether ~~or not~~ to approve the counting of
 13 additional hours or days of pupil instruction under subdivision ~~(b)~~
 14 **(d)** for a district, the superintendent of public instruction shall
 15 not take into account whether or not the district counts hours or
 16 days of professional development for teachers as hours or days of
 17 pupil instruction, as provided under subsection (10).

18 **(g)** ~~(e)~~—Subsequent hours or days beyond those described in
 19 subdivisions (a) ~~and (b)~~ **to (d)** are not counted as hours or days of
 20 pupil instruction.

21 (5) A district does not forfeit part of its state aid
 22 appropriation because it adopts or has in existence an alternative
 23 scheduling program for pupils in kindergarten if the program
 24 provides at least the number of hours required under subsection (3)
 25 for a full-time equated membership for a pupil in kindergarten as
 26 provided under section 6(4).

27 (6) In addition to any other penalty or forfeiture under this
 28 section, if at any time the department determines that 1 or more of
 29 the following have occurred in a district, the district forfeits in

1 the current fiscal year beginning in the next payment to be
2 calculated by the department a proportion of the funds due to the
3 district under this article that is equal to the proportion below
4 the required minimum number of hours and days of pupil instruction
5 under subsection (3), as specified in the following:

6 (a) The district fails to operate its schools for at least the
7 required minimum number of hours and days of pupil instruction
8 under subsection (3) in a school year, including hours and days
9 counted under subsection (4).

10 (b) The board of the district takes formal action not to
11 operate its schools for at least the required minimum number of
12 hours and days of pupil instruction under subsection (3) in a
13 school year, including hours and days counted under subsection (4).

14 (7) In providing the minimum number of hours and days of pupil
15 instruction required under subsection (3), a district shall use the
16 following guidelines, and a district shall maintain records to
17 substantiate its compliance with the following guidelines:

18 (a) Except as otherwise provided in this subsection, a pupil
19 must be scheduled for at least the required minimum number of hours
20 of instruction, excluding study halls, or at least the sum of 90
21 hours plus the required minimum number of hours of instruction,
22 including up to 2 study halls.

23 (b) The time a pupil is assigned to any tutorial activity in a
24 block schedule may be considered instructional time, unless that
25 time is determined in an audit to be a study hall period.

26 (c) Except as otherwise provided in this subdivision, a pupil
27 in grades 9 to 12 for whom a reduced schedule is determined to be
28 in the individual pupil's best educational interest, or a pupil in
29 grades 6 to 8 for whom a reduced schedule is determined to be in

1 the individual pupil's best educational interest due to the pupil's
2 participation in an advanced curriculum, must be scheduled for a
3 number of hours equal to at least 80% of the required minimum
4 number of hours of pupil instruction to be considered a full-time
5 equivalent pupil. A pupil in grades 6 to 12 who is scheduled in a
6 4-block schedule may receive a reduced schedule under this
7 subsection if the pupil is scheduled for a number of hours equal to
8 at least 75% of the required minimum number of hours of pupil
9 instruction to be considered a full-time equivalent pupil.

10 (d) For a pupil in grades 9 to 12 enrolled in a cooperative
11 education program, or for a special education pupil, in determining
12 full-time equated membership for that pupil, the pupil is not
13 considered less than a full-time equated pupil solely because of
14 the effect of the pupil's enrollment in the cooperative education
15 program or special education program, including necessary travel
16 time, on the number of class hours provided by the district to the
17 pupil.

18 (e) In grades 7 through 12, instructional time that is part of
19 a Junior Reserve Officer Training Corps (JROTC) program is
20 considered to be pupil instruction time regardless of whether the
21 instructor is a certificated teacher if all of the following are
22 met:

23 (i) The instructor has met all of the requirements established
24 by the United States Department of Defense and the applicable
25 branch of the armed services for serving as an instructor in the
26 Junior Reserve Officer Training Corps program.

27 (ii) The board of the district or intermediate district
28 employing or assigning the instructor complies with the
29 requirements of sections 1230 and 1230a of the revised school code,



1 MCL 380.1230 and 380.1230a, with respect to the instructor to the
2 same extent as if employing the instructor as a regular classroom
3 teacher.

4 (8) Except as otherwise provided in subsections (11) and (12),
5 the department shall apply the guidelines under subsection (7) in
6 calculating the full-time equivalency of pupils.

7 (9) Upon application by the district for a particular fiscal
8 year, the superintendent shall waive for a district the minimum
9 number of hours and days of pupil instruction requirement of
10 subsection (3) for a department-approved alternative education
11 program or another innovative program approved by the department,
12 including a 4-day school week. If a district applies for and
13 receives a waiver under this subsection and complies with the terms
14 of the waiver, the district is not subject to forfeiture under this
15 section for the specific program covered by the waiver. If the
16 district does not comply with the terms of the waiver, the amount
17 of the forfeiture is calculated based upon a comparison of the
18 number of hours and days of pupil instruction actually provided to
19 the minimum number of hours and days of pupil instruction required
20 under subsection (3). A district shall report pupils enrolled in a
21 department-approved alternative education program under this
22 subsection to the center in a form and manner determined by the
23 center. All of the following apply to a waiver granted under this
24 subsection:

25 (a) If the waiver is for a blended model of delivery, a waiver
26 that is granted for the 2011-2012 fiscal year or a subsequent
27 fiscal year remains in effect unless it is revoked by the
28 superintendent.

29 (b) If the waiver is for a 100% online model of delivery and



1 the educational program for which the waiver is granted makes
2 educational services available to pupils for a minimum of at least
3 1,098 hours during a school year and ensures that each pupil is on
4 track for course completion at proficiency level, a waiver that is
5 granted for the 2011-2012 fiscal year or a subsequent fiscal year
6 remains in effect unless it is revoked by the superintendent.

7 (c) A waiver that is not a waiver described in subdivision (a)
8 or (b) is valid for 3 fiscal years, unless it is revoked by the
9 superintendent, and must be renewed at the end of the 3-year period
10 to remain in effect.

11 (10) A district may count up to 38 hours of professional
12 development for teachers as hours of pupil instruction. All of the
13 following apply to the counting of professional development as
14 pupil instruction under this subsection:

15 (a) If the professional development exceeds 5 hours in a
16 single day, that day may be counted as a day of pupil instruction.

17 (b) At least 8 hours of the professional development counted
18 as hours of pupil instruction under this subsection must be
19 recommended by a districtwide professional development advisory
20 committee appointed by the district board. The advisory committee
21 must be composed of teachers employed by the district who represent
22 a variety of grades and subject matter specializations, including
23 special education; nonteaching staff; parents; and administrators.
24 The majority membership of the committee must be composed of
25 teaching staff.

26 (c) Professional development provided online is allowable and
27 encouraged, as long as the instruction has been approved by the
28 district. The department shall issue a list of approved online
29 professional development providers that must include the Michigan



1 Virtual School.

2 (d) Professional development may only be counted as hours of
3 pupil instruction under this subsection for the pupils of those
4 teachers scheduled to participate in the professional development.

5 (e) The professional development must meet all of the
6 following to be counted as pupil instruction under this subsection:

7 (i) Be aligned to the school or district improvement plan for
8 the school or district in which the professional development is
9 being provided.

10 (ii) Be linked to 1 or more criteria in the evaluation tool
11 developed or adopted by the district or intermediate district under
12 section 1249 of the revised school code, MCL 380.1249.

13 (iii) Has been approved by the department as counting for state
14 continuing education clock hours. The number of hours of
15 professional development counted as hours of pupil instruction
16 under this subsection may not exceed the number of state continuing
17 education clock hours for which the professional development was
18 approved.

19 (iv) Not more than a combined total of 10 hours of the
20 professional development takes place before the first scheduled day
21 of school for the school year ending in the fiscal year and after
22 the last scheduled day of school for that school year.

23 (v) Not more than 10 hours of the professional development
24 takes place in a single month.

25 (vi) At least 75% of teachers scheduled to participate in the
26 professional development are in attendance.

27 (11) Subsections (3) and (8) do not apply to a school of
28 excellence that is a cyber school, as that term is defined in
29 section 551 of the revised school code, MCL 380.551, and is in



1 compliance with section 553a of the revised school code, MCL
2 380.553a. Beginning July 1, 2021, this subsection is subject to
3 section 8c. It is the intent of the legislature that the
4 immediately preceding sentence apply retroactively and is effective
5 July 1, 2021.

6 (12) Subsections (3) and (8) do not apply to eligible pupils
7 enrolled in a dropout recovery program that meets the requirements
8 of section 23a. As used in this subsection, "eligible pupil" means
9 that term as defined in section 23a.

10 (13) At least every 2 years the superintendent shall review
11 the waiver standards set forth in the pupil accounting and auditing
12 manuals to ensure that the waiver standards and waiver process
13 continue to be appropriate and responsive to changing trends in
14 online learning. The superintendent shall solicit and consider
15 input from stakeholders as part of this review.